Lam Research: stronger demand with a measured earnings upgrade

Lam sells the etch, deposition and cleaning equipment needed to manufacture more complex chips. Advanced memory and logic require more demanding processing, giving Lam a chance to grow its equipment content as well as its industry demand. Its installed tools also create recurring spares, service and upgrade receipts. Customer qualification and process performance protect this position.

The Q4 2027 ceiling rises from USD 321 to USD 331 per share, up about 3%. The same forward-four-quarter window, 20x company non-GAAP operating-profit multiple and 1,255M diluted-share proxy apply. Analytical Base 80 and protected Excel Base 80 are unchanged. The ceiling is an ASTRA estimate, not company guidance.

The main reason for the modest revision is overlap. Our old forecast already assumed a powerful equipment cycle and increasing Lam process content. Management now sees preliminary 2027 equipment spending above USD 200B, strengthening the demand case. We replace the old spending scenarios and lower the previously aggressive service forecast. Manufacturing costs, engineering, field support and a gradual margin ramp remain paid.

Control	Current treatment
Review	Full Framework 8.0 earnings rescore, 21 October 2026
Profit basis	Company non-GAAP OP, including ordinary SBC
Valuation	20x forward-four-quarter OP /1,255M starting-quarter shares
Active horizon	Q4 2027 through Q3 2028 profit window
Price context	No fresh market-return claim. Prior USD 263 quote was 20 October close.
Limits	Conditional industry, customer acceptance, capture and cost assumptions remain.

LRCX /21 OCTOBER 2026 /FULL FRAMEWORK 8.0 EARNINGS REVIEW

Where Lam captures the bottleneck

The immediate bottleneck is usable manufacturing capacity: cleanrooms, qualified equipment, supplier parts, installation and customer acceptance. Chipmakers can announce large budgets before Lam can recognize a shipment. Lam gains when three-dimensional structures need additional precise etch and film-deposition steps, and when a qualified tool earns repeat deployment across fabs.

Vector	Eligible company receipts	Competition and limit
NAND	New equipment and upgrades as layers rise and capacity converts. Single-level-cell uses more wafers per stored bit.	Customer conversions, bit demand and adopted mix must be identified. No assumed industry-wide 5% SLC shift.

Vector	Eligible company receipts	Competition and limit
DRAM / HBM	Deposition, etch and advanced packaging as memory stacks and volumes expand.	Tool positions and accepted production volumes determine sales. Aether sits inside the same spending wallet.
Foundry / logic	Gate-all-around, patterning and backside power increase process complexity.	Applied Materials, Tokyo Electron and specialist suppliers compete by process. No universal monopoly or whole-fab capture.
Installed base / CSBG	Spares, service contracts, upgrades and Reliant mature equipment.	Accounting CSBG includes upgrades and Reliant. It cannot be added again to an equipment mix that already includes them.

The opportunity extends beyond the current AI infrastructure build. More demanding logic, memory, packaging and eventually physical-AI applications can reuse these process capabilities. This is a TAM argument, rather than a second 2027 revenue pool. Generic data-center spending reaches Lam through semiconductor manufacturing demand, with a timing lag and a limited company share.



Lam, 21 October 2026 slides, physical page 7. Original product-position claims. Aether cumulative outlook is through the end of the decade, not annual 2027 sales.

September actuals and December guidance

USD million unless noted	September actual	Old September forecast	Change
Revenue	8,219	8,100	119
Non-GAAP gross profit	4,305	4,212	93
Non-GAAP opex	1,004	1,012	-8
Non-GAAP operating profit	3,301	3,200	101
Accounting new systems	5,733	5,300	433
CSBG and other	2,487	2,800	-313

Reported GAAP operating profit is USD 3,284M; company non-GAAP is USD 3,301M. The USD 17M difference comes from acquisition amortization and deferred-compensation valuation effects. Ordinary SBC of USD 115M remains expensed in company non-GAAP profit. This analysis retains the sanctioned company reporting basis. It does not silently convert to EBITDA or remove ordinary compensation.

December 2026 outlook	Issuer range or arithmetic
Revenue	USD 8,600M midpoint, USD 8,200-9,000M range
Non-GAAP gross margin	5,250 basis points, plus or minus 100
Non-GAAP operating margin	4,050 basis points, plus or minus 100
Midpoint gross profit	USD 4,515M, derived from rounded margin guidance
Midpoint operating profit	USD 3,483M, derived from rounded margin guidance
Midpoint implied opex	USD 1,032M
Diluted share guide	1,253M, separately from retained 1,255M valuation proxy

Guided revenue and margin bands are not independent guaranteed outcomes. The exact dollar midpoint is arithmetic on rounded guidance, not a separately guided precise operating-profit amount. Our service allocation of USD 2,680M within the December midpoint is a low-confidence analytical split, not segment guidance.

Balance Sheet and Cash Flow Results

Cash, cash equivalents, and restricted cash balances increased to $7.45 billion at the end of the September 2026 quarter compared to $5.60 billion at the end of the June 2026 quarter. The increase was primarily the result of cash generated from operating activities during the quarter partially offset by cash deployed for capital return activities and capital expenditures.

Deferred revenue at the end of the September 2026 quarter increased to $2.66 billion compared to $2.43 billion as of the end of the June 2026 quarter. Lam's deferred revenue balance does not include shipments to customers in Japan, to whom control does not transfer until customer acceptance. Shipments to customers in Japan are classified as inventory at cost until the time of acceptance. The estimated future revenue from shipments to customers in Japan was approximately $468.3 million as of September 27, 2026 and $490.2 million as of June 28, 2026.

Revenue

The geographic distribution of revenue during the September 2026 quarter is shown in the following table:

Region	Revenue
China	35%
Korea	20%
Taiwan	18%
Japan	9%
United States	8%
Southeast Asia	6%
Europe	4%

The following table presents revenue disaggregated between systems and customer support-related revenue:

	Three Months Ended		
	September 27, 2026	June 28, 2026	September 28, 2025
	(in thousands)		
Systems revenue	$ 5,732,907	$ 4,249,848	$ 3,547,565
Customer support-related revenue and other	2,486,511	2,472,390	1,776,608
	$ 8,219,418	$ 6,722,238	$ 5,324,173

Systems revenue includes sales of new leading-edge equipment in deposition, etch, clean, and other wafer fabrication markets.

Customer support-related revenue includes sales of customer services, spares, upgrades, and non-leading-edge equipment from our Reliant® product line.

Outlook

For the quarter ending December 27, 2026, Lam is providing the following guidance:

	U.S. GAAP			Reconciling Items	Non-GAAP		
Revenue	$8.60 Billion	+/-	$400 Million	—	$8.60 Billion	+/-	$400 Million
Gross margin	52.5%	+/-	1%	$ 2.7 Million	52.5%	+/-	1%
Operating margin	40.5%	+/-	1%	$ 3.0 Million	40.5%	+/-	1%
Net income per diluted share	$2.33	+/-	$0.15	$ 3.3 Million	$2.33	+/-	$0.15
Diluted share count	1.253 Billion			—	1.253 Billion		

The information provided above is only an estimate of what the Company believes is realizable as of the date of this release and does not incorporate the potential impact of any business combinations, asset acquisitions, divestitures, restructuring, balance sheet valuation adjustments, financing arrangements, other investments, or other items that may be completed or realized after the date of this release, except as described below. U.S. GAAP to non-GAAP reconciling items provided include only those items that are known and can be estimated as of the date of this release. Actual results will vary from this model and the variations may be material. Reconciling items included above are as follows:

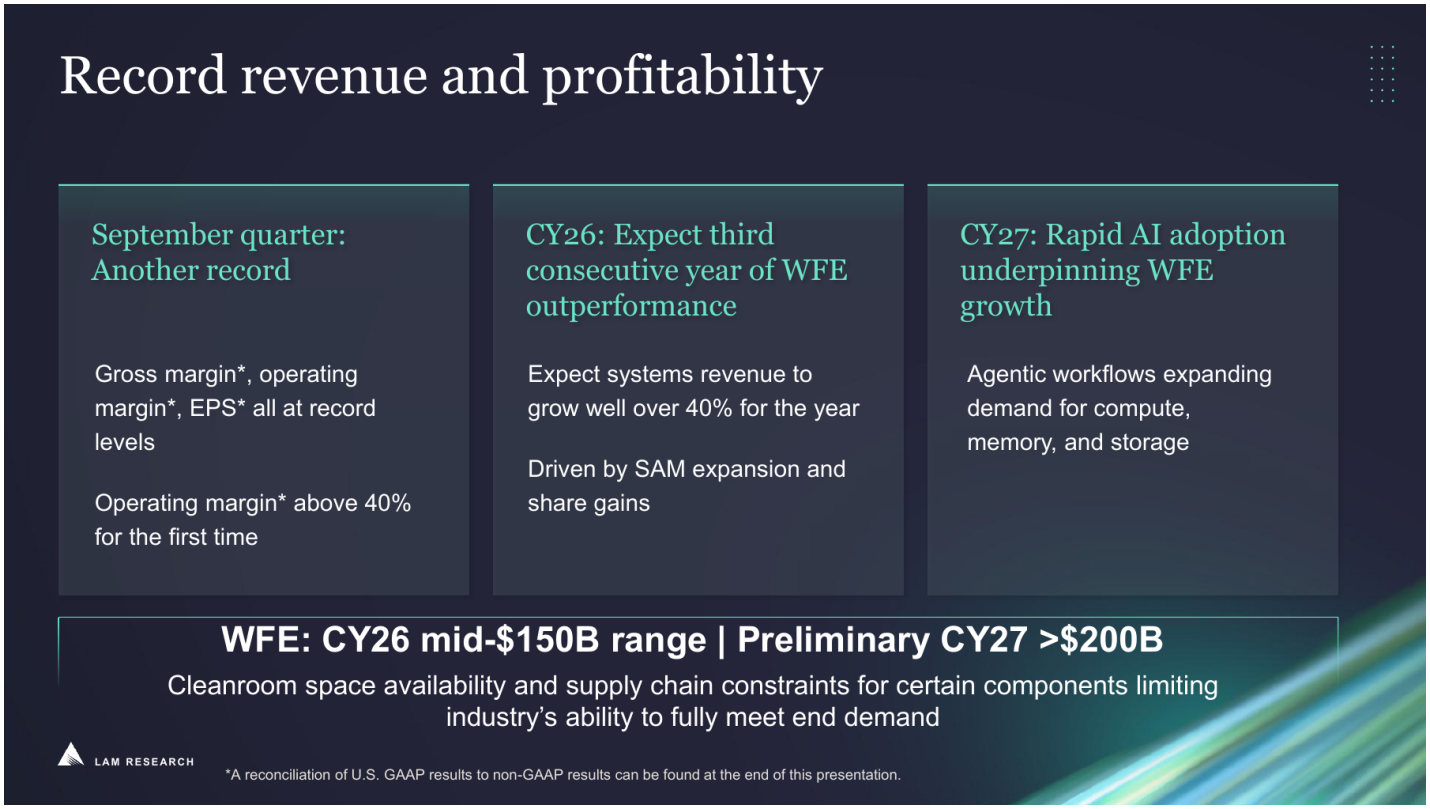
- Gross margin - amortization related to intangible assets acquired through certain business combinations, $2.7 million.
- Operating margin - amortization related to intangible assets acquired through certain business combinations, $3.0 million.

Issuer release, 21 October 2026, physical page 2. Original accounting systems/CSBG definitions, geography and December guidance. USDthousands in the source financial tables; this report converts to USD millions.

The newest two management calls

Call	New or continuing evidence	Economic treatment
29 July 2026, June quarter	High-30s served-market opportunity, technology inflections, NAND conversions, equipment/service growth and record scale. Full 19-page issuer transcript/OCR reviewed previously and unchanged hash verified.	The prior operating case already paid for these ramps. Keep them inside the common reference.
21 October 2026, September quarter	PreliminaryCY 2027WFE above USD 200B; ten tier-one fabs phase in. CSBG growth above 15% in 2027. Near-term gross margin around current levels.	Rebuild mutually exclusive spending/service outcomes and paid costs. No immediate mid 50s margin jump.
October Q&A	Customer projects were known before public announcements; December supplier constraints shift some shipments. CFO declined to confirm an analyst USD 300-400M impact.	Do not book the analyst number, all new public fab budgets or a separately added Terafab order.
October product detail	Aether cumulative end-decade outlook USD 2,500M, up USD 1,000M. About 70% advanced-packaging growth in 2026 and early panel positions.	Finite product evidence improves capture confidence. It is inside the same systems/WFE forecast.

The latest full prepared remarks and Q&A through the operator closing were read from Quartr redistribution. It is a complete returned text record, with issuer numbers cross-checked, but it is not an issuer-hosted September transcript PDF or independently listened audio. The June issuer transcript is an unchanged verified original. A mislabeled June-opex sentence in the latest transcript is resolved against the September issuer financial table, without modifying the saved original.



Lam October 21 presentation, physical page 5. Management industry outlook is preliminary and constrained by cleanroom and supplier readiness. No exact unconstrained demand upper bound is supplied.

Product receipts, manufacturing and support economics

Actual accounting new-systems revenue and CSBG totals are exact anchors. The individual NAND, DRAM and foundry/logic allocations below are ASTRA estimates. Lam's slide application mix includes equipment, upgrades and Reliant and has a broader denominator than accounting new systems. Multiplying that mix by accounting systems and presenting reported application dollars would misstate the source.

Calendar year	NAND systems	DRAM systems	Logic / other systems	CSBG
2027	7,723	9,335	13,799	12,200
2028	8,871	11,481	15,883	14,500
2029	9,085	11,989	16,452	16,200
2030	9,500	12,720	17,200	18,000

For each state and quarter, new systems equal the old unweighted product receipts times one plus the accepted industry fraction. Accepted fraction equals 80% times the change from the matching old industry reference. Service revenue follows a separate installed-base and upgrade path. Relative product margin spreads are retained, then normalized to the explicit consolidated gross margin. Product gross profit equals

receipts times that allocated margin; manufacturing cost equals receipts less gross profit. Engineering and field/selling opex are deducted afterward.



Lam October 21 slides, physical page 9. Original service/upgrade growth and performance-contract commentary. Separate CSBG margins and component sales were not disclosed.



Lam October 21 slides, physical page 6. NAND architecture opportunity. The call's physical capacity relationship is conditional on an adopted bit mix; no market adoption percentage was supplied.

The full quarterly allocation follows. These are analytical product margins, with the source denominator warning above. All reported company totals and company guidance remain separate anchors. The reference input panel precedes the current output panel so the accepted-system fraction and margin normalization can be followed without the prior report.

Quarter	Reference vector	Reference receipts	Reference GM, bps
Q3 2026	NAND systems	1,250	5,179
Q3 2026	DRAM systems	1,400	5,279
Q3 2026	Foundry, logic and other systems	2,650	4,979
Q3 2026	Customer Support Business Group	2,800	5,379
Q4 2026	NAND systems	1,400	5,209
Q4 2026	DRAM systems	1,580	5,306
Q4 2026	Foundry, logic and other systems	2,750	5,009
Q4 2026	Customer Support Business Group	2,920	5,398
Q1 2027	NAND systems	1,470	5,239
Q1 2027	DRAM systems	1,790	5,332
Q1 2027	Foundry, logic and other systems	2,820	5,039
Q1 2027	Customer Support Business Group	3,070	5,418

Quarter	Reference vector	Reference receipts	Reference GM, bps
Q2 2027	NAND systems	1,700	5,269
Q2 2027	DRAM systems	1,960	5,359
Q2 2027	Foundry, logic and other systems	2,940	5,069
Q2 2027	Customer Support Business Group	3,200	5,437
Q3 2027	NAND systems	1,780	5,299
Q3 2027	DRAM systems	2,160	5,385
Q3 2027	Foundry, logic and other systems	3,120	5,099
Q3 2027	Customer Support Business Group	3,390	5,456
Q4 2027	NAND systems	1,850	5,329
Q4 2027	DRAM systems	2,310	5,412
Q4 2027	Foundry, logic and other systems	3,270	5,129
Q4 2027	Customer Support Business Group	3,470	5,476
Q1 2028	NAND systems	1,900	5,359
Q1 2028	DRAM systems	2,450	5,438
Q1 2028	Foundry, logic and other systems	3,390	5,159
Q1 2028	Customer Support Business Group	3,560	5,495
Q2 2028	NAND systems	1,960	5,390
Q2 2028	DRAM systems	2,530	5,465
Q2 2028	Foundry, logic and other systems	3,510	5,190
Q2 2028	Customer Support Business Group	3,680	5,515
Q3 2028	NAND systems	2,010	5,420
Q3 2028	DRAM systems	2,600	5,491
Q3 2028	Foundry, logic and other systems	3,600	5,220
Q3 2028	Customer Support Business Group	3,790	5,534
Q4 2028	NAND systems	2,050	5,450
Q4 2028	DRAM systems	2,670	5,518
Q4 2028	Foundry, logic and other systems	3,680	5,250
Q4 2028	Customer Support Business Group	3,900	5,553
Q1 2029	NAND systems	2,090	5,480
Q1 2029	DRAM systems	2,730	5,544

Quarter	Reference vector	Reference receipts	Reference GM, bps
Q1 2029	Foundry, logic and other systems	3,760	5,280
Q1 2029	Customer Support Business Group	4,000	5,573
Q2 2029	NAND systems	2,120	5,510
Q2 2029	DRAM systems	2,790	5,571
Q2 2029	Foundry, logic and other systems	3,840	5,310
Q2 2029	Customer Support Business Group	4,100	5,592
Q3 2029	NAND systems	2,160	5,540
Q3 2029	DRAM systems	2,860	5,597
Q3 2029	Foundry, logic and other systems	3,920	5,340
Q3 2029	Customer Support Business Group	4,200	5,611
Q4 2029	NAND systems	2,200	5,570
Q4 2029	DRAM systems	2,930	5,624
Q4 2029	Foundry, logic and other systems	4,000	5,370
Q4 2029	Customer Support Business Group	4,300	5,631
Q1 2030	NAND systems	2,270	5,600
Q1 2030	DRAM systems	3,030	5,650
Q1 2030	Foundry, logic and other systems	4,120	5,400
Q1 2030	Customer Support Business Group	4,420	5,650
Q2 2030	NAND systems	2,340	5,600
Q2 2030	DRAM systems	3,130	5,650
Q2 2030	Foundry, logic and other systems	4,240	5,400
Q2 2030	Customer Support Business Group	4,540	5,650
Q3 2030	NAND systems	2,410	5,600
Q3 2030	DRAM systems	3,230	5,650
Q3 2030	Foundry, logic and other systems	4,360	5,400
Q3 2030	Customer Support Business Group	4,660	5,650
Q4 2030	NAND systems	2,480	5,600
Q4 2030	DRAM systems	3,330	5,650
Q4 2030	Foundry, logic and other systems	4,480	5,400
Q4 2030	Customer Support Business Group	4,780	5,650

Quarter	Current vector	Receipts	GM, bps	Gross profit	Mfg cost
Q3 2026	NAND systems	1,352	5,228	707	645
Q3 2026	DRAM systems	1,514	5,328	807	707
Q3 2026	Foundry, logic and other systems	2,866	5,028	1,441	1,425
Q3 2026	Customer Support Business Group	2,487	5,428	1,350	1,137
Q4 2026	NAND systems	1,446	5,239	758	689
Q4 2026	DRAM systems	1,632	5,335	871	761
Q4 2026	Foundry, logic and other systems	2,841	5,039	1,432	1,410
Q4 2026	Customer Support Business Group	2,680	5,428	1,455	1,225
Q1 2027	NAND systems	1,669	5,244	876	794
Q1 2027	DRAM systems	2,033	5,337	1,085	948
Q1 2027	Foundry, logic and other systems	3,203	5,044	1,616	1,587
Q1 2027	Customer Support Business Group	2,830	5,423	1,535	1,295
Q2 2027	NAND systems	1,931	5,267	1,017	914
Q2 2027	DRAM systems	2,226	5,356	1,192	1,034
Q2 2027	Foundry, logic and other systems	3,339	5,067	1,692	1,647
Q2 2027	Customer Support Business Group	2,977	5,435	1,618	1,359
Q3 2027	NAND systems	2,022	5,301	1,072	950
Q3 2027	DRAM systems	2,453	5,386	1,321	1,132
Q3 2027	Foundry, logic and other systems	3,543	5,101	1,807	1,736
Q3 2027	Customer Support Business Group	3,135	5,458	1,711	1,424
Q4 2027	NAND systems	2,101	5,324	1,119	982
Q4 2027	DRAM systems	2,623	5,406	1,418	1,205
Q4 2027	Foundry, logic and other systems	3,714	5,124	1,903	1,811
Q4 2027	Customer Support Business Group	3,257	5,471	1,782	1,475

Quarter	Current vector	Receipts	GM, bps	Gross profit	Mfg cost
Q1 2028	NAND systems	2,128	5,357	1,140	988
Q1 2028	DRAM systems	2,744	5,436	1,492	1,252
Q1 2028	Foundry, logic and other systems	3,797	5,157	1,958	1,839
Q1 2028	Customer Support Business Group	3,364	5,493	1,848	1,516
Q2 2028	NAND systems	2,195	5,391	1,183	1,012
Q2 2028	DRAM systems	2,834	5,466	1,549	1,285
Q2 2028	Foundry, logic and other systems	3,931	5,191	2,041	1,891
Q2 2028	Customer Support Business Group	3,538	5,516	1,951	1,587
Q3 2028	NAND systems	2,251	5,413	1,219	1,033
Q3 2028	DRAM systems	2,912	5,485	1,597	1,315
Q3 2028	Foundry, logic and other systems	4,032	5,213	2,102	1,930
Q3 2028	Customer Support Business Group	3,726	5,528	2,060	1,667
Q4 2028	NAND systems	2,296	5,437	1,248	1,048
Q4 2028	DRAM systems	2,991	5,504	1,646	1,344
Q4 2028	Foundry, logic and other systems	4,122	5,237	2,158	1,963
Q4 2028	Customer Support Business Group	3,872	5,540	2,145	1,727
Q1 2029	NAND systems	2,215	5,470	1,212	1,004
Q1 2029	DRAM systems	2,894	5,535	1,602	1,292
Q1 2029	Foundry, logic and other systems	3,986	5,270	2,101	1,885
Q1 2029	Customer Support Business Group	3,758	5,563	2,091	1,668
Q2 2029	NAND systems	2,247	5,493	1,235	1,013
Q2 2029	DRAM systems	2,958	5,554	1,643	1,315
Q2 2029	Foundry, logic and other systems	4,071	5,293	2,155	1,916
Q2 2029	Customer Support Business Group	3,953	5,576	2,204	1,749

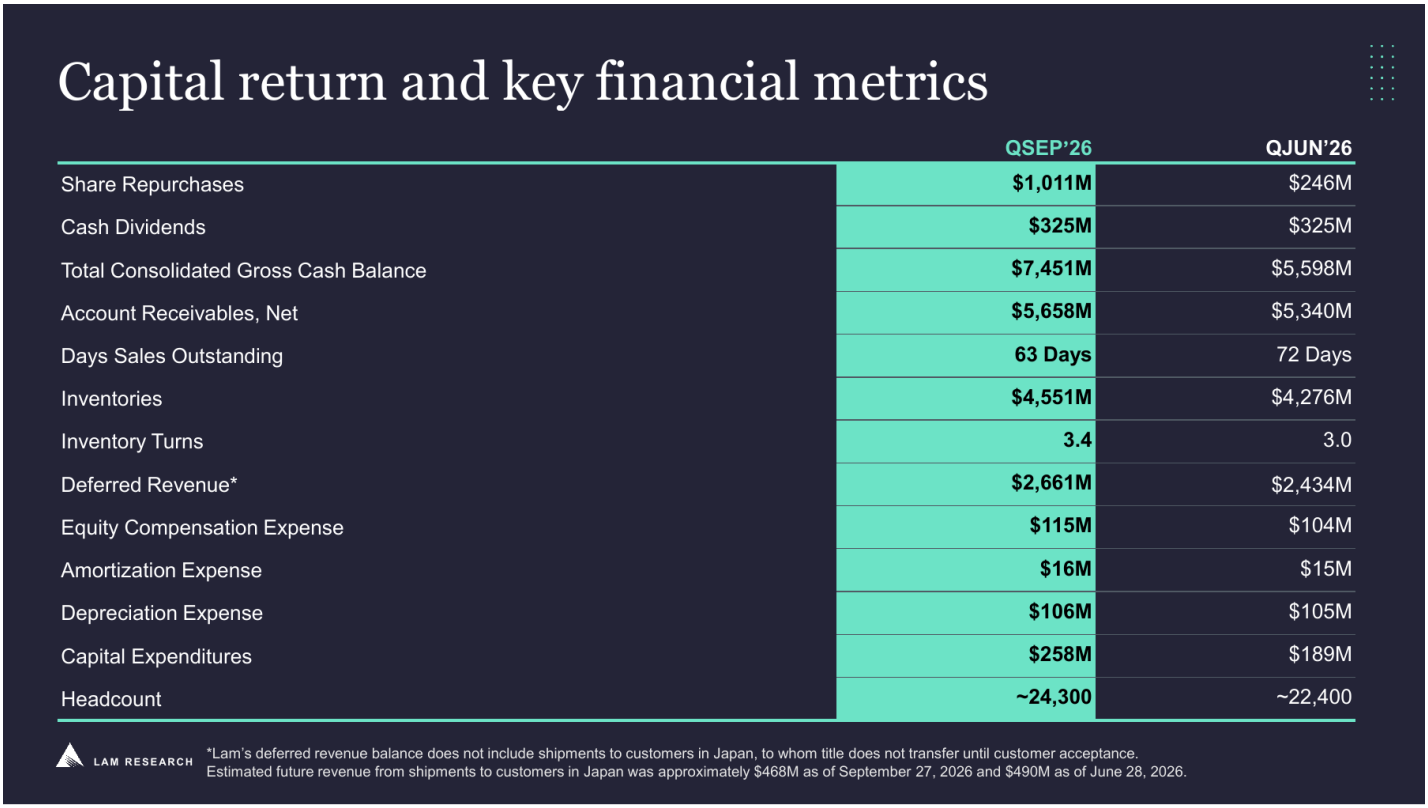
Quarter	Current vector	Receipts	GM, bps	Gross profit	Mfg cost
Q3 2029	NAND systems	2,290	5,526	1,265	1,024
Q3 2029	DRAM systems	3,032	5,584	1,693	1,339
Q3 2029	Foundry, logic and other systems	4,155	5,326	2,213	1,942
Q3 2029	Customer Support Business Group	4,163	5,598	2,331	1,833
Q4 2029	NAND systems	2,332	5,550	1,294	1,038
Q4 2029	DRAM systems	3,106	5,604	1,740	1,366
Q4 2029	Foundry, logic and other systems	4,240	5,350	2,268	1,972
Q4 2029	Customer Support Business Group	4,325	5,611	2,427	1,899
Q1 2030	NAND systems	2,270	5,584	1,268	1,002
Q1 2030	DRAM systems	3,030	5,634	1,707	1,323
Q1 2030	Foundry, logic and other systems	4,120	5,384	2,218	1,902
Q1 2030	Customer Support Business Group	4,176	5,634	2,353	1,823
Q2 2030	NAND systems	2,340	5,583	1,307	1,033
Q2 2030	DRAM systems	3,130	5,633	1,763	1,367
Q2 2030	Foundry, logic and other systems	4,240	5,383	2,283	1,957
Q2 2030	Customer Support Business Group	4,392	5,633	2,474	1,918
Q3 2030	NAND systems	2,410	5,583	1,345	1,065
Q3 2030	DRAM systems	3,230	5,633	1,819	1,411
Q3 2030	Foundry, logic and other systems	4,360	5,383	2,347	2,013
Q3 2030	Customer Support Business Group	4,626	5,633	2,606	2,020
Q4 2030	NAND systems	2,480	5,582	1,384	1,096
Q4 2030	DRAM systems	3,330	5,632	1,876	1,454
Q4 2030	Foundry, logic and other systems	4,480	5,382	2,411	2,069
Q4 2030	Customer Support Business Group	4,806	5,632	2,707	2,099

Capacity, margins and paid operating scale

Lam added about 1,900 employees, primarily manufacturing and field roles plus R&D, and spent USD 258M on capital equipment and intangibles in the September quarter. Those facts support both capacity and a real fulfillment bill. Near-customer manufacturing and stronger product mix can help margins, but supplier constraints and geographic/customer mix still create volatility.

Forecast calendar year	Revenue	Gross profit	Opex	Operating profit
2027	43,057	22,763	5,071	17,693
2028	50,734	27,338	5,716	21,622
2029	53,725	29,473	6,178	23,295
2030	57,420	31,868	6,648	25,220

The company gross-margin assumption progresses from 5,250 to 5,320 basis points through 2027, then 5,350-5,420 in 2028. Mid 5,500 basis points is reached only later. This is an ASTRA timing estimate, consistent with a multiyear opportunity rather than a near-term company commitment. The quarterly engineering/support/selling baseline increases from USD 1,120M to USD 1,290M across 2027, plus 8% of the change in receipts against the old unweighted reference. Variable savings do not remove full fixed costs.



Lam October 21 slides, physical page 16. Original cash, capex, capital returns and staffing evidence. The deck's rounded buyback scope differs from cash purchases including excise tax.

Rule 16b: one set of spending outcomes

Joint state	Probability	2027 WFE	2028 WFE	2027 CSBG	2028 CSBG
constrained ramp	20%	185,000	210,000	11,200	13,000
management outlook realized	60%	205,000	230,000	12,200	14,500
faster customer acceptance	20%	225,000	250,000	13,200	16,000

All industry and company receipts in the table are USD millions. The states are mutually exclusive and sum 100%. The combined 80% weight at or above management's preliminary USD 200B outlook reflects stronger first-party evidence; the 20% delay branch retains a meaningful execution shortfall. The exact endpoints, all 2028 amounts and company service paths remain ASTRA estimates. These probabilities describe business outcomes, rather than assigning several independent probabilities to correlated AI headlines.

The old 50/30/20 spending overlay is removed completely before the new calculation. The old unweighted reference already incorporates pricing, process-content gains, customer AI investment and a strong cycle. The new model applies only the relative accepted-system opportunity, with manufacturing and 8% incremental paid opex.2029 retains half the 2028 system fraction, and 2030 fully overlaps the old system reference. Service 2029/2030 uses explicit state-scaled annual estimates.

ASTRA control	Selected treatment	Source and limit
Unweighted WFE reference 2027	USD 175,270M	Inherited model reference from prior primary forecasts; rounded here, full precision in model JSON.
Unweighted WFE reference 2028	USD 199,983M	Inherited model reference from prior primary forecasts; rounded here, full precision in model JSON.
Accepted-system realization	80% of the relative industry change	ASTRA capture/acceptance control; not a company sales guide.
Incremental paid opex	8% of net change in receipts	Paid engineering/support/selling beyond manufacturing cost; not a second gross-margin gain.
2029 systems	Half the 2028 systems fraction	Apply to the inherited 2029 unweighted systems reference. ASTRA fade assumption.
2030 systems	Zero separate systems increment	Inherited 2030 systems receipts remain; full overlap. ASTRA assumption.
2029 CSBG	USD 16,200M x state 2028 CSBG /14,500	Annual service estimate scaled to the same state; not new guidance.
2030 CSBG	USD 18,000M x state 2028 CSBG /14,500	Annual service estimate scaled to the same state; not new guidance.

Other signal	Probability lens	Separate increment	Reason
Aether cumulative programme	80%	Zero	Fully inside memory/WFE capture; no extra USD 1B annual pool.
SLC / HBF	40%	Zero	No adopted mix or dated customer wallet beyond the equipment states.
Packaging / panel	70%	Zero	Tool positions support existing content; no separately disclosed accepted invoice pool.
SpaceX / Terafab	35%	Zero	Generic compute spending and already known fab plans overlap; no Lam award disclosed.
Pricing / margin	65%	Zero	Already in company gross margins; no second operating-leverage gain.

Every conditional quarterly outcome is shown below before probability weighting. USD millions. Actual and guided company totals are identical across states. Later accepted-system receipts, service receipts, company gross profit and paid opex follow the explicit rules above. State operating profit is gross profit less opex; the weighted company is the probability-weighted sum.

Quarter	State	Systems	CSBG	Gross profit	Opex	OP
Q3 2026	constrained ramp	5,733	2,487	4,305	1,004	3,301
Q3 2026	management outlook realized	5,733	2,487	4,305	1,004	3,301
Q3 2026	faster customer acceptance	5,733	2,487	4,305	1,004	3,301
Q4 2026	constrained ramp	5,920	2,680	4,515	1,032	3,483
Q4 2026	management outlook realized	5,920	2,680	4,515	1,032	3,483
Q4 2026	faster customer acceptance	5,920	2,680	4,515	1,032	3,483
Q1 2027	constrained ramp	6,350	2,598	4,698	1,104	3,594
Q1 2027	management outlook realized	6,905	2,830	5,111	1,167	3,944
Q1 2027	faster customer acceptance	7,460	3,062	5,524	1,230	4,295
Q2 2027	constrained ramp	6,893	2,733	5,073	1,176	3,897
Q2 2027	management outlook realized	7,496	2,977	5,519	1,244	4,275
Q2 2027	faster customer acceptance	8,098	3,221	5,965	1,312	4,654
Q3 2027	constrained ramp	7,374	2,878	5,434	1,234	4,199
Q3 2027	management outlook realized	8,018	3,135	5,911	1,306	4,605

Quarter	State	Systems	CSBG	Gross profit	Opex	OP
Q3 2027	faster customer acceptance	8,663	3,392	6,389	1,378	5,011
Q4 2027	constrained ramp	7,760	2,990	5,719	1,278	4,441
Q4 2027	management outlook realized	8,438	3,257	6,222	1,354	4,868
Q4 2027	faster customer acceptance	9,117	3,524	6,725	1,429	5,296
Q1 2028	constrained ramp	8,050	3,016	5,920	1,281	4,639
Q1 2028	management outlook realized	8,669	3,364	6,438	1,359	5,079
Q1 2028	faster customer acceptance	9,289	3,712	6,955	1,436	5,519
Q2 2028	constrained ramp	8,321	3,172	6,183	1,325	4,858
Q2 2028	management outlook realized	8,961	3,538	6,724	1,405	5,319
Q2 2028	faster customer acceptance	9,601	3,904	7,266	1,486	5,780
Q3 2028	constrained ramp	8,539	3,341	6,415	1,370	5,045
Q3 2028	management outlook realized	9,196	3,726	6,978	1,454	5,524
Q3 2028	faster customer acceptance	9,853	4,112	7,541	1,537	6,004
Q4 2028	constrained ramp	8,737	3,471	6,617	1,413	5,204
Q4 2028	management outlook realized	9,409	3,872	7,198	1,498	5,699
Q4 2028	faster customer acceptance	10,081	4,272	7,779	1,584	6,195
Q1 2029	constrained ramp	8,752	3,370	6,606	1,413	5,193
Q1 2029	management outlook realized	9,095	3,758	7,005	1,472	5,533
Q1 2029	faster customer acceptance	9,438	4,147	7,404	1,530	5,874
Q2 2029	constrained ramp	8,925	3,544	6,821	1,460	5,361
Q2 2029	management outlook realized	9,275	3,953	7,236	1,520	5,716
Q2 2029	faster customer acceptance	9,625	4,362	7,651	1,581	6,070
Q3 2029	constrained ramp	9,119	3,733	7,068	1,507	5,562
Q3 2029	management outlook realized	9,477	4,163	7,502	1,570	5,932
Q3 2029	faster customer acceptance	9,834	4,594	7,936	1,633	6,303

Quarter	State	Systems	CSBG	Gross profit	Opex	OP
Q4 2029	constrained ramp	9,313	3,878	7,281	1,551	5,730
Q4 2029	management outlook realized	9,678	4,325	7,730	1,616	6,114
Q4 2029	faster customer acceptance	10,043	4,773	8,179	1,681	6,498
Q1 2030	constrained ramp	9,420	3,744	7,306	1,556	5,750
Q1 2030	management outlook realized	9,420	4,176	7,546	1,590	5,955
Q1 2030	faster customer acceptance	9,420	4,608	7,786	1,625	6,161
Q2 2030	constrained ramp	9,710	3,938	7,574	1,602	5,973
Q2 2030	management outlook realized	9,710	4,392	7,827	1,638	6,188
Q2 2030	faster customer acceptance	9,710	4,846	8,079	1,675	6,404
Q3 2030	constrained ramp	10,000	4,147	7,852	1,649	6,203
Q3 2030	management outlook realized	10,000	4,626	8,117	1,687	6,430
Q3 2030	faster customer acceptance	10,000	5,105	8,383	1,726	6,657
Q4 2030	constrained ramp	10,290	4,309	8,102	1,692	6,410
Q4 2030	management outlook realized	10,290	4,806	8,378	1,732	6,646
Q4 2030	faster customer acceptance	10,290	5,303	8,654	1,772	6,882

LRCX /21 OCTOBER 2026 /FULL FRAMEWORK 8.0 EARNINGS REVIEW

Every quarterly receipt and cost

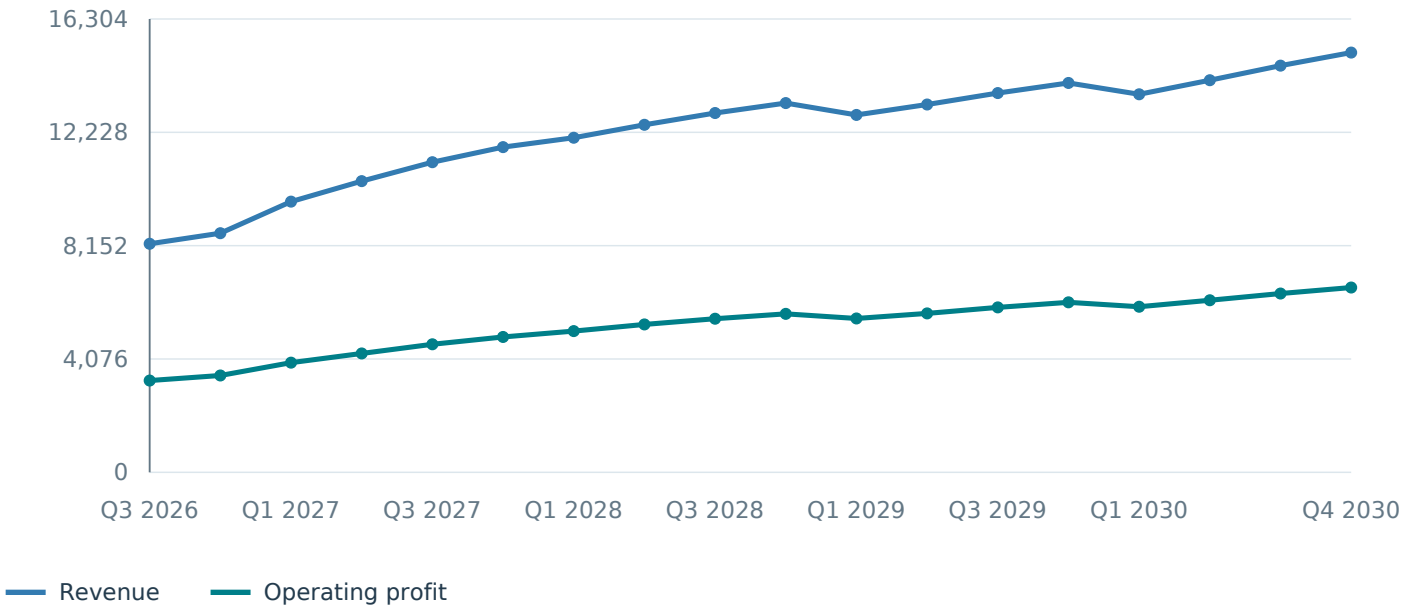
USD millions. Q3 2026 is the reported company non-GAAP actual; Q4 2026 is the company guidance midpoint with an analytical business split. Every later quarter is a conditional, probability-weighted model estimate. COGS includes manufacturing costs; opex includes ordinary engineering, support, selling and compensation on the company's reporting basis. Display rounding can make components differ by USD 1M; calculations retain their original precision.

Quarter	Revenue	COGS	Gross profit	Opex	Operating profit
Q3 2026	8,219	3,914	4,305	1,004	3,301
Q4 2026	8,600	4,085	4,515	1,032	3,483
Q1 2027	9,735	4,624	5,111	1,167	3,944

Quarter	Revenue	COGS	Gross profit	Opex	Operating profit
Q2 2027	10,472	4,953	5,519	1,244	4,275
Q3 2027	11,153	5,242	5,911	1,306	4,605
Q4 2027	11,696	5,474	6,222	1,354	4,868
Q1 2028	12,033	5,596	6,438	1,359	5,079
Q2 2028	12,499	5,774	6,724	1,405	5,319
Q3 2028	12,922	5,944	6,978	1,454	5,524
Q4 2028	13,280	6,082	7,198	1,498	5,699
Q1 2029	12,854	5,848	7,005	1,472	5,533
Q2 2029	13,228	5,992	7,236	1,520	5,716
Q3 2029	13,640	6,138	7,502	1,570	5,932
Q4 2029	14,004	6,274	7,730	1,616	6,114
Q1 2030	13,596	6,050	7,546	1,590	5,955
Q2 2030	14,102	6,275	7,827	1,638	6,188
Q3 2030	14,626	6,509	8,117	1,687	6,430
Q4 2030	15,096	6,718	8,378	1,732	6,646

Revenue and operating profit through the full model

USDmillion



Source actual only in Q3 2026. Q4 2026 uses company guidance with ASTRA allocation. Later periods are probability-weighted ASTRA estimates. Whole reader labels retain full precision in the linked model.

Quarter	Revenue	OP
Q3 2026	8,219	3,301
Q4 2026	8,600	3,483
Q1 2027	9,735	3,944
Q2 2027	10,472	4,275
Q3 2027	11,153	4,605
Q4 2027	11,696	4,868
Q1 2028	12,033	5,079
Q2 2028	12,499	5,319
Q3 2028	12,922	5,524
Q4 2028	13,280	5,699
Q1 2029	12,854	5,533
Q2 2029	13,228	5,716
Q3 2029	13,640	5,932
Q4 2029	14,004	6,114
Q1 2030	13,596	5,955
Q2 2030	14,102	6,188
Q3 2030	14,626	6,430
Q4 2030	15,096	6,646

All fifteen valuation derivations

Each row sums operating profit for the start quarter and the next three quarters. Multiply that sum by 20 and divide by 1,255M starting-quarter diluted shares. Calendar windows are used even though Lam's fiscal year ends inJune. The Q4 2027 target uses Q4 2027, Q1 2028, Q2 2028 and Q3 2028. No tax conversion, net-cash credit, EBITDA substitution or fresh multiple premium enters this company method.

Start	OP term 1	OP term 2	OP term 3	OP term 4	F4Q OP	20x /1,255M
Q3 2026	3,301	3,483	3,944	4,275	15,003	239
Q4 2026	3,483	3,944	4,275	4,605	16,307	260
Q1 2027	3,944	4,275	4,605	4,868	17,693	282
Q2 2027	4,275	4,605	4,868	5,079	18,828	300

Start	OP term 1	OP term 2	OP term 3	OP term 4	F4Q OP	20x /1,255M
Q3 2027	4,605	4,868	5,079	5,319	19,871	317
Q4 2027	4,868	5,079	5,319	5,524	20,791	331
Q1 2028	5,079	5,319	5,524	5,699	21,622	345
Q2 2028	5,319	5,524	5,699	5,533	22,076	352
Q3 2028	5,524	5,699	5,533	5,716	22,473	358
Q4 2028	5,699	5,533	5,716	5,932	22,880	365
Q1 2029	5,533	5,716	5,932	6,114	23,295	371
Q2 2029	5,716	5,932	6,114	5,955	23,717	378
Q3 2029	5,932	6,114	5,955	6,188	24,190	385
Q4 2029	6,114	5,955	6,188	6,430	24,688	393
Q1 2030	5,955	6,188	6,430	6,646	25,220	402

Conditional diagnostic	Target USD
constrained_ramp conditional outcome	303
management_outlook_realized conditional outcome	331
faster_customer_acceptance conditional outcome	360
10% additional share dilution with unchanged OP	301
20% forward OP shortfall with unchanged multiple	265

Conditional endpoints are alternative outcomes, not additional independent target increases. Extra share dilution changes the denominator even if operating profit is unchanged. Actual weighted diluted shares were 1,256M rounded and December guidance is 1,253M; the existing 1,255M valuation proxy remains, with no automatic buyback retirement.

Cash conversion, debt and funding

September reported cash from operations is USD 3,498M and capex/intangibles USD 258M, giving USD 3,240M free cash flow. Unrestricted cash is USD 7,437M, with USD 14M restricted. The cash-flow statement separately records dividends, repurchases including excise tax and combined debt/finance-lease cash. These items are not ordinary operating profit.

Forecast quarter	CFO	Capex	Debt coupon	Principal	Dividend	Cash before buybacks
Q4 2026	2,980	258	26	0	414	9,745

Forecast quarter	CFO	Capex	Debt coupon	Principal	Dividend	Cash before buybacks
Q1 2027	3,077	292	38	0	414	12,116
Q2 2027	3,549	314	26	0	414	14,937
Q3 2027	3,857	335	38	0	414	18,045
Q4 2027	4,160	351	26	0	414	21,440
Q1 2028	4,419	361	38	0	414	25,084
Q2 2028	4,591	375	26	0	414	28,886
Q3 2028	4,781	388	38	0	414	32,866
Q4 2028	4,976	398	26	0	414	37,029
Q1 2029	5,136	386	38	1,000	414	40,365
Q2 2029	4,981	397	26	0	414	44,535
Q3 2029	5,164	409	18	0	414	48,876
Q4 2029	5,341	420	26	0	414	53,382
Q1 2030	5,519	408	18	0	414	58,079
Q2 2030	5,347	423	26	750	414	61,839
Q3 2030	5,563	439	18	0	414	66,549
Q4 2030	5,779	453	19	0	414	71,461

Forecast cash is a diagnostic, not guidance. State cash starts from unrestricted September cash. Operating NWC uses receivables plus inventory plus prepaids less other current liabilities; deferred revenue is already inside that liability proxy and is not subtracted twice. Forecast D&A, SBC and capex are respectively 150,140 and 300 basis points of receipts. Ordinary SBC remains expensed in OP, then is added back once for its noncash cash-flow treatment. Cash taxes use the explicit operating-minus-coupon proxy.

The June 2026 issuer 10-K has no note principal maturity inFY 2027 orFY 2028. It specifies USD 1,000M due 15March 2029 and USD 750M due 15June 2030, with USD 2,000M later. The model applies the actual calendar maturities and semiannual coupons. Opening note face value USD 3,750M is distinct from September combined carrying debt/finance leases USD 3,735M. The undrawn USD 2,000M revolving facility is capacity, not cash.

Operating leases remain within operating/cash costs, rather than receiving a second complete debit. The source lease-payment schedule is fiscal, not a mechanical calendar-quarter guide. Finance leases were described as immaterial in the filing. Discretionary future buybacks are excluded from liquidity, and shares are held fixed. A separate reserve for remaining note principal checks liquidity without falsely booking an early balloon.

LAM RESEARCH CORPORATION
CONDENSED CONSOLIDATED STATEMENTS OF CASH FLOWS
(in thousands, unaudited)

	Three Months Ended		
	September 27, 2026	June 28, 2026	September 28, 2025
CASH FLOWS FROM OPERATING ACTIVITIES:			
Net income	$ 2,753,138	$ 2,277,282	$ 1,568,660
Adjustments to reconcile net income to net cash provided by operating activities:			
Depreciation and amortization	122,072	119,642	101,644
Deferred income taxes	(55,300)	(175,752)	(62,875)
Equity-based compensation expense	114,696	103,985	97,241
Other, net	27,633	(8,006)	(1,890)
Changes in operating assets and liabilities	535,413	(859,923)	76,184
Net cash provided by operating activities	3,497,652	1,457,228	1,778,964
CASH FLOWS FROM INVESTING ACTIVITIES:			
Capital expenditures and intangible assets	(257,697)	(188,801)	(185,121)
Other, net	(9,292)	45,060	(927)
Net cash used for investing activities	(266,989)	(143,741)	(186,048)
CASH FLOWS FROM FINANCING ACTIVITIES:			
Principal payments on debt, including finance lease obligations and payments for debt issuance costs	(34,489)	(1,355)	(1,417)
Treasury stock purchases, including excise tax payments	(1,024,965)	(246,560)	(975,791)
Dividends paid	(325,402)	(325,318)	(291,981)
Reissuance of treasury stock related to employee stock purchase plan	—	88,780	—
Proceeds from issuance of common stock, net of issuance costs	4,263	4,426	—
Other, net	(1,786)	(282)	(12,449)
Net cash used for financing activities	(1,382,379)	(480,309)	(1,281,638)
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	4,663	(2,056)	(7,059)
Net change in cash, cash equivalents, and restricted cash	1,852,947	831,122	304,219
Cash, cash equivalents, and restricted cash at beginning of period (1)	5,597,943	4,766,821	6,407,656
Cash, cash equivalents, and restricted cash at end of period (1)	$ 7,450,890	$ 5,597,943	$ 6,711,875

(1) Restricted cash is reported within Other assets in the Condensed Consolidated Balance Sheets.

Lam October 21 release, physical page 6. Original cash-flow bridge and financing scope, USDthousands. Report tables convert to USD millions.

Cash driver	Explicit treatment
Tax proxy	1,650 basis points on operating profit less scheduled coupon

Cash driver	Explicit treatment
D&A / SBC / capex	150 /140 /300 basis points of company receipts
Operating NWC	AR+inventory+prepaids less othercurrentliabilities, source ratio applied to forecast receipts
Quarterly dividend	USD 33 cents per share times 1,255M shares
Coupons / maturities	Exact source bond coupons and dated principal; no future discretionary buybacks
Source lease limits	Operating lease costs already included; future immaterial finance-lease principal not falsely made exact

Quarter	State	CFO	Capex	Principal	Cash close	Cash less remaining notes
Q4 2026	constrained ramp	2,980	258	0	9,745	5,995
Q1 2027	constrained ramp	3,085	268	0	12,148	8,398
Q2 2027	constrained ramp	3,233	289	0	14,678	10,928
Q3 2027	constrained ramp	3,515	308	0	17,471	13,721
Q4 2027	constrained ramp	3,794	323	0	20,528	16,778
Q1 2028	constrained ramp	4,033	332	0	23,815	20,065
Q2 2028	constrained ramp	4,193	345	0	27,249	23,499
Q3 2028	constrained ramp	4,366	356	0	30,844	27,094
Q4 2028	constrained ramp	4,543	366	0	34,607	30,857
Q1 2029	constrained ramp	4,691	364	1,000	37,520	34,770
Q2 2029	constrained ramp	4,674	374	0	41,406	38,656
Q3 2029	constrained ramp	4,844	386	0	45,450	42,700
Q4 2029	constrained ramp	5,007	396	0	49,647	46,897
Q1 2030	constrained ramp	5,179	395	0	54,017	51,267
Q2 2030	constrained ramp	5,163	409	750	57,606	55,606
Q3 2030	constrained ramp	5,369	424	0	62,136	60,136
Q4 2030	constrained ramp	5,575	438	0	66,859	64,859
Q4 2026	management outlook realized	2,980	258	0	9,745	5,995
Q1 2027	management outlook realized	3,077	292	0	12,116	8,366
Q2 2027	management outlook realized	3,549	314	0	14,937	11,187

Quarter	State	CFO	Capex	Principal	Cash close	Cash less remaining notes
Q3 2027	management outlook realized	3,857	335	0	18,045	14,295
Q4 2027	management outlook realized	4,160	351	0	21,440	17,690
Q1 2028	management outlook realized	4,419	361	0	25,084	21,334
Q2 2028	management outlook realized	4,591	375	0	28,886	25,136
Q3 2028	management outlook realized	4,781	388	0	32,866	29,116
Q4 2028	management outlook realized	4,976	398	0	37,029	33,279
Q1 2029	management outlook realized	5,136	386	1,000	40,365	37,615
Q2 2029	management outlook realized	4,981	397	0	44,535	41,785
Q3 2029	management outlook realized	5,164	409	0	48,876	46,126
Q4 2029	management outlook realized	5,341	420	0	53,382	50,632
Q1 2030	management outlook realized	5,519	408	0	58,079	55,329
Q2 2030	management outlook realized	5,347	423	750	61,839	59,839
Q3 2030	management outlook realized	5,563	439	0	66,549	64,549
Q4 2030	management outlook realized	5,779	453	0	71,461	69,461
Q4 2026	faster customer acceptance	2,980	258	0	9,745	5,995
Q1 2027	faster customer acceptance	3,069	316	0	12,084	8,334
Q2 2027	faster customer acceptance	3,865	340	0	15,196	11,446
Q3 2027	faster customer acceptance	4,199	362	0	18,619	14,869
Q4 2027	faster customer acceptance	4,526	379	0	22,352	18,602
Q1 2028	faster customer acceptance	4,806	390	0	26,354	22,604
Q2 2028	faster customer acceptance	4,989	405	0	30,523	26,773

Quarter	State	CFO	Capex	Principal	Cash close	Cash less remaining notes
Q3 2028	faster customer acceptance	5,197	419	0	34,887	31,137
Q4 2028	faster customer acceptance	5,408	431	0	39,451	35,701
Q1 2029	faster customer acceptance	5,582	408	1,000	43,211	40,461
Q2 2029	faster customer acceptance	5,288	420	0	47,665	44,915
Q3 2029	faster customer acceptance	5,484	433	0	52,302	49,552
Q4 2029	faster customer acceptance	5,674	444	0	57,118	54,368
Q1 2030	faster customer acceptance	5,859	421	0	62,142	59,392
Q2 2030	faster customer acceptance	5,531	437	750	66,072	64,072
Q3 2030	faster customer acceptance	5,756	453	0	70,962	68,962
Q4 2030	faster customer acceptance	5,983	468	0	76,062	74,062

Analytical score and protected portfolio input

Category	Points	Maximum	Reason
Core thesis	18	20	Qualified critical etch/deposition recipes, installed base and switching costs; competition remains process-specific.
Cycle stage	9	10	Advanced memory and logic tools are ramping. Customer cleanrooms and acceptance still determine revenue.
TAM expansion	9	10	Three-dimensional structures, more critical steps and packaging extend the served wallet; broad WFE and company revenue remain distinct.
Catalysts	5	5	September results delivered; next evidence is dated December shipments/acceptance and January update. Current quarter record results do not create another score increment.
Macro	9	10	AI, memory and leading-edge foundry spending support multi-year demand, with cyclical risk.
Alpha	2	5	Company capture, accounting mix scope and acceptance analysis offer more specificity than generic AI exposure; the company is widely followed.
Risks	-4	0	Four scored classes: customer cycle and acceptance; China/export policy; process competition; manufacturing, supplier and margin execution. Supplier limits and paid scaling costs remain.

The raw score is 48 of 60, or 80 of 100. Risk deductions cover four separate risk classes and stay within the framework cap. The analytical score remains 80. Protected Excel Base 80 also remains 80; matching values do not make these interchangeable. No owner override or unrelated holding input changes in this earnings review.

Risks, falsification and the next evidence

Risk	What would weaken the case	Actionable next check
Customer cycle / acceptance	New cleanrooms or acceptance dates slip; WFE finishes below the expected range.	Matched shipment/acceptance evidence and January industry update.
China / policy	Domestic mix falls faster or export restrictions reduce eligible shipments.	China customer mix and actual restrictions, rather than assuming all 35% is domestic.
Competition / process	A qualified competitor displaces Lam or customer process changes reduce tool content.	Production tool positions, repeat deployment and revenue, not laboratory capability alone.
Costs / execution	Supplier parts, staffing and factory/lab costs consume margin gains.	Gross margin versus the explicit gradual curve and full paid opex.
Service forecast	CSBG fails the expected installed-base/upgrade ramp.	Reported accounting CSBG growth; keep upgrades out of duplicate system pools.

The nearest test is December recognition and cost delivery, followed by the January update to 2027 spending and customer readiness. A higher industry budget without accepted Lam receipts will not earn the conditional upside. A much faster service or margin ramp would require revising the explicit company economics, rather than adding a free multiple increase.

Sources, completeness and reproducibility

Source	Original location	SHA 256
september_results_html	https://investor.lamresearch.com/2026-10-21-Lam-Research-Corporation-Reports-Financial-Results-for-the-Quarter-Ended-September-27%2C-2026	cce0e719fa43647beaf10d99bdb1748625d1665200e622fe60c7daf29b322179
september_event_105	https://investor.lamresearch.com/events?item=105	d6738ffc4cf2ad5e804b813255883888317d350339f10546b1fd6b8c1d4c8e1a
september_release_issuer_pdf	https://investor.lamresearch.com/image/LRCX_Exhibit_99.1_Q1_2027+10212026+.pdf	91752f41a648df2ec3671d5264d4b5c49ff9da43b4ac69ec52b525e6f49ee562
september_slides	https://investor.lamresearch.com/image/Q1_2027-slides-full_final.pdf	25c47fc6a858793146fa7fe31efd9b1aafc35a0e45b8ef18ae2b01f2509541ad

The eight-page current issuer release and 26-slide deck were read, with original tables and images retained. The full 60,351-character September call record was read through prepared remarks, Q&A and operator closing. Quartr is licensed redistribution, not the issuer PDF or audio verification. The newest two management calls have substantive full-text coverage with different provenance. The June issuer transcript/OCR and original images are unchanged verified reuse. The current quarterly filing was not available in the captured packet; the dated June-year-end 10-K supplies debt, lease and asset-life notes.

Missing exact quantities remain explicit: future product invoice counts, customer acceptance schedules, supplier-constrained December dollars, SLC adoption, a separate CSBG margin, and exact program timing within the cumulative Aether outlook. Forecasts remain conditional despite complete transport of the selected source files. There is no research claim based on inaccessible text, no unverified video transcription and no assumption that a complete delivery proves future earnings.

This current report supersedes the pre-earnings analysis under the same original filename. Full source originals and recoverable prior report/model bytes remain preserved. Model JSON contains full precision and source hashes; the owning spreadsheet build and master links are separately validated. Microsoft Office is unavailable. Portable affected-file calculations and package/link checks support this workflow; native Excel and unrelated legacy feature behavior remain unverified.